

Overall CMBS Delinquency Rate Increased 51 Basis Points in July 2026

TREPP CMBS DELINQUENCY REPORT

The Trepp Commercial Mortgage-Backed Securities (CMBS) Delinquency Rate increased by 51 basis points to 7.86% in July 2026.

This was led by a group of very large loans whose status moved to non-performing matured balloon or foreclosure. The five largest newly delinquent loans accounted for \$2.6 billion of the \$6.0 billion in newly delinquent balances, or roughly 44%. They included a showroom and exhibition-space portfolio split between North Carolina and Nevada, two Times Square properties in New York, a Chicago office tower, and a Seattle office portfolio.

Non-performing matured balloon loans made up 66% of newly delinquent balances, 30-days-delinquent loans made up 23%, and loans in foreclosure made up 19%. The North Carolina and Nevada showroom portfolio, the Times Square mixed-use property, and the Seattle office portfolio transitioned from performing matured balloon to non-performing matured balloon. The Chicago office tower moved directly from current to non-performing matured balloon.

At the property-type level, four of the five major property types increased while one moved lower. Multifamily posted the largest increase, rising 46 basis points to 7.69% as a wave of Ohio, Texas, and New York multifamily loans became 30 days delinquent. Office increased 34 basis points to 11.91% as large loans on a Chicago office tower and a Seattle office portfolio became non-performing matured balloon and an Arlington, Virginia office tower became 30 days delinquent, outpacing the cure of two downtown Los Angeles

office towers. Lodging increased 13 basis points to 5.35%, reversing last month's improvement, as new hotel delinquencies outpaced a short list of cures. Retail increased just five basis points to 6.96%. \$1.0 billion in newly delinquent retail balances were offset by four large regional malls that shifted from non-performing to performing matured balloon status during the month. Industrial posted the only decrease, declining seven basis points to 1.13%, as cures modestly outpaced limited new inflows.

If loans past their maturity date but current on interest (classified as performing matured balloon) were included, the delinquency rate would register 9.62%, up nine basis points from June. This figure sits 176 basis points above the headline rate of 7.86%. The narrower gap versus prior months reflects maturity-related distress shifting out of performing matured balloon status and into non-performing matured balloon status, which is captured in the headline rate. The seriously delinquent rate (60+ days delinquent, in foreclosure, real estate owned (REO), or non-performing matured balloon) increased, rising to 7.57% from 7.16%.

The percentage of loan balance in the 30-day delinquent bucket is 0.29%, an increase of 10 basis points versus June (0.19%).

The figures assume defeased loans are included in the denominator unless otherwise specified.

Looking for more information on what goes into the delinquency rate?

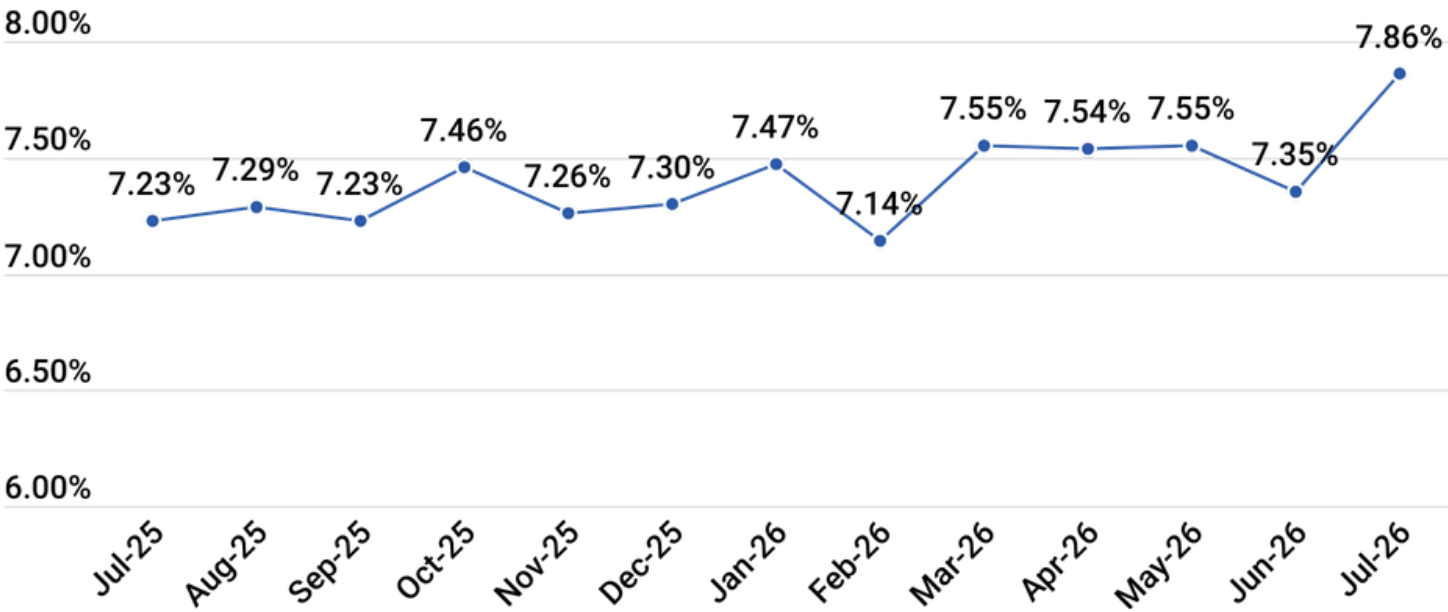
[Access our guide to distress in CMBS here](#), which includes a breakdown of payment statuses, rate formula, differences between CMBS 1.0 and 2.0+, and more.



The Overall Numbers

- The overall US CMBS delinquency rate increased to 7.86%, an increase of 51 basis points for the month.
- The percentage of loans that are seriously delinquent (60+ days delinquent, in foreclosure, REO, or non-performing balloon) is now 7.57%, up 41 basis points for the month.
- If defeased loans were taken out of the equation, the overall headline delinquency rate would be 8.05%, up 50 basis points from June.
- One year ago, the overall US CMBS delinquency rate was 7.23%.
- Six months ago, the US CMBS delinquency rate was 7.47%.

CHART 1: PERCENTAGE OF CMBS MARKED AS 30+ DAYS DELINQUENT



Source: Trepp

TABLE 1: DELINQUENCY STATUS

DELINQUENCY STATUS	PERCENTAGE %
Current	90.38
30 Days Delinquent	0.29
60 Days Delinquent	0.10
90 Days Delinquent	0.59
Performing Matured Balloon	1.76
Non-Performing Matured Balloon	2.47
Foreclosure	3.04
REO	1.37

Source: Trepp

TABLE 2: DELINQUENCY RATE BY PROPERTY TYPE (% 30 DAYS +)

PROP TYPE	Jul-26	Jun-26	May-26	3 MO.	6 MO.	12 MO.
Overall	7.86	7.35	7.55	7.54	7.47	7.23
Industrial	1.13	1.20	1.31	0.96	0.62	0.52
Lodging	5.35	5.22	6.01	6.52	5.56	6.59
Multifamily	7.69	7.23	6.95	7.71	6.94	6.15
Office	11.91	11.57	11.53	11.69	12.34	11.04
Retail	6.96	6.91	6.61	6.31	7.04	6.90

Source: Trepp

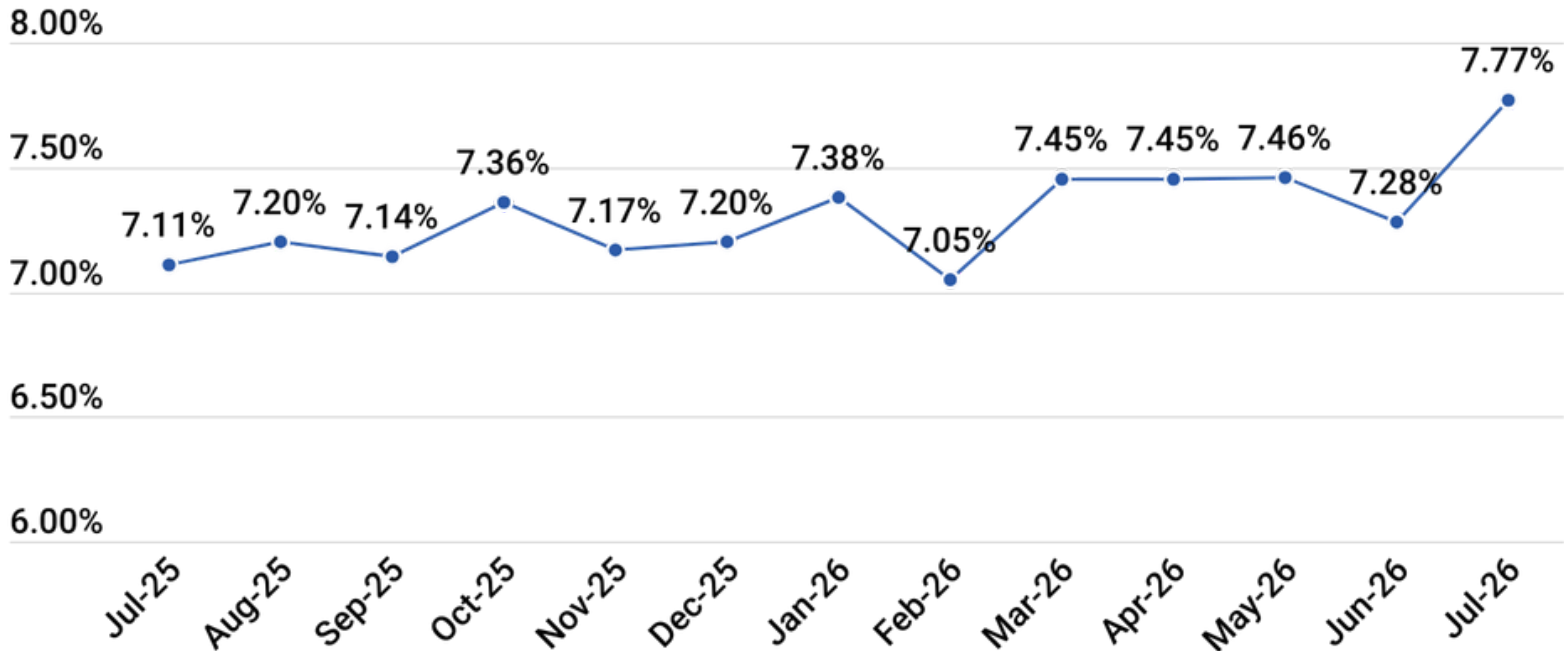
The CMBS 2.0+ Numbers

- The CMBS 2.0+ delinquency rate rose 49 basis points, to 7.77%, in July.
- The percentage of CMBS 2.0+ loans that are seriously delinquent is 7.48%, up 39 basis points from the prior month.
- If defeased loans were taken out of the equation, the overall CMBS 2.0+ delinquency rate would be 7.96%, up 50 basis points for the month.

Property Type Analysis CMBS 2.0+

- Industrial delinquency rate: 1.13% (down seven basis points)
- Lodging delinquency rate: 5.34% (up 12 basis points)
- Multifamily delinquency rate: 7.72% (up 45 basis points)
- Office delinquency rate: 11.82% (up 35 basis points)
- Retail delinquency rate: 6.66% (up six basis points)

CHART 2: THE CMBS 2.0+ DELINQUENCY RATE



Source: Trepp

WHAT IS THE DIFFERENCE BETWEEN CMBS 1.0 & CMBS 2.0+?

CMBS 1.0 refers to CMBS issued prior to the 2008 financial crisis, characterized by higher loan-to-value ratios and lower debt service coverage ratios. CMBS 2.0+ refers to the second generation of CMBS issued after the financial crisis, incorporating reforms to restore investor confidence. These include enhanced underwriting standards, increased disclosure requirements, improved loan servicing practices, and stronger risk retention rules in compliance with Dodd-Frank regulations.



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